

SEBI INVESTOR EDUCATION & AWARENESS INITIATIVE

Mutual Funds: Structure, Types, and Investment Guidelines

1. What is a Mutual Fund?

A mutual fund is a mechanism for pooling money from many investors to purchase securities like stocks, bonds, money market instruments, and other assets. Mutual funds are operated by professional money managers (Asset Management Companies or AMCs), who allocate the fund's assets and attempt to produce capital gains or income for the fund's investors.

2. Structure of Mutual Funds in India:

Under SEBI (Mutual Funds) Regulations, 1996, a mutual fund is set up in the form of a Trust that has a Sponsor, Trustees, Asset Management Company (AMC), and Custodian. The trust is established by a Sponsor or more than one Sponsor who is like a promoter of a company. The Trustees of the mutual fund hold its property for the benefit of the unit holders.

3. Net Asset Value (NAV):

The performance of a particular scheme of a mutual fund is denoted by Net Asset Value (NAV). NAV is the market value of the securities held by the scheme divided by the total number of units of the scheme on any particular day.

4. Systematic Investment Plan (SIP):

A Systematic Investment Plan (SIP) allows an investor to invest a fixed amount of money at predetermined intervals (weekly, monthly, quarterly) in a chosen mutual fund scheme. SIP enforces disciplined saving and benefits from Rupee Cost Averaging without timing the market.

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Mutual Funds: Risk Factors and Investor Rights

5. Key Risk Disclosures & Guidelines:

Mutual fund investments are subject to market risks. Read all scheme related documents carefully before investing. There are NO guaranteed returns or capital assurances in mutual fund schemes, except specific capital protection oriented schemes approved under SEBI guidelines. Past performance of any mutual fund scheme is not necessarily indicative of future performance.

6. Rights of a Mutual Fund Unit Holder:

- Unit holders have the right to receive scheme account statements within statutory timelines.
- Receive dividends within 30 days of declaration.
- Receive redemption or repurchase proceeds within 3 business days of the redemption request.
- Receive annual reports and periodic portfolio disclosures from the AMC.
- Inspect trust deeds, investment management agreements, and SEBI registration certificates.

7. Investor Grievance Redressal (SCORES):

If an investor has an unresolved complaint against an AMC or intermediary, they should register a complaint on SEBI Complaints Redress System (SCORES) at <https://scores.sebi.gov.in> or call the SEBI Toll-Free Helpline at 1800-266-7575 / 1800-22-7575.